

Hua Hong (1347.HK): 3Q26 GM guidance beat with revenues +7~9% QoQ; 2Q26 GM better than expected; Buy

Hua Hong expects 3Q26 revenues to grow by 7%~9% QoQ with GM at 16%~18% (vs. 16.5% in 2Q26), showing continuous GM improvement despite the ongoing capacity expansion. The 2Q26 revenues guidance midpoint was 11% / 6% below GSe / Bloomberg consensus, which is lower than expected. However, the GM guidance is higher at 16%~18%, comparing to GSe at 15.3% and consensus at 16.5%; 2Q GM (16.5%, improving QoQ) was higher than the guidance range of 14%~16%, also higher than our / Street estimates of 15.0% / 14.9%. OP turned to a profit to US\$11m vs. US\$20m OP loss last quarter, which we attribute to the larger scale. The company's net income came in at US\$38.6m, higher than GSe (US\$32.4m) while lower than consensus (US\$39.4m).

We are positive on Hua Hong driven by growing opportunities from AI applications (PMIC for data centers), solid UT rates driven by demand recovery, sustainable long-term demand expansion from growing domestic clients and the "China for China" production trend, as well as continuous capacity scale up with technology node migration to 28nm. **Maintain Buy.**

Positive on ASP in 2H26 / 2027 riding on strong demand: The company's utilization rate continued to improve to 102.8% in 2Q26 (vs. 99.7% in 1Q26), driven by the strong growth across technology platforms, especially embedded NVM and standalone NVM products. During the earnings call, management remained constructive on the strong demand in 2H26 / 2027 driven by the AI trend and expanding applications, and expects to see solid ASP with UT rate maintaining at an elevated level ahead, despite continuous capacity expansion.

Exhibit 1: 3Q26 guidance vs. GSe and Bloomberg consensus

Guidance vs Gse and consensus	3Q26 guidance			3Q26		3Q26		2Q26		2Q25	
	Low	High	Mid	GS	Diff	Con	Diff	QoQ		YoY	
Revenue (US\$mn)	770	780	775	874	-11%	822	-6%	718	8%	635	22%
Gross margin	16.0%	18.0%	17.0%	15.3%	1.7ppts	16.5%	0.5ppts	16.5%	0.5ppts	13.5%	3.5ppts

GS estimates are previously published numbers.

Source: Company data, Goldman Sachs Global Investment Research, Bloomberg

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Exhibit 2: Hua Hong 2Q26 result snapshot

(US\$m)	2Q26 Actual	2Q26 GS	Diff	2Q26 Con	Diff	1Q26	QoQ	2Q25	YoY
Revenue	718	695	3%	703	2%	661	9%	566	27%
Gross profit	118	104	14%	105	13%	86	38%	62	92%
Operating income	11	3	248%	8	38%	-20	NA	-36	NA
Pre-tax profit	12	9	33%	16	-28%	-22	NA	-26	NA
Net income	39	32	19%	39	-2%	21	85%	8	386%
EPS	0.02	0.02	19%	0.02	-7%	0.01	85%	0.00	383%
Margins									
Gross margin	16.5%	15.0%	1.5ppts	14.9%	1.6ppts	13.0%	3.5ppts	10.9%	5.6ppts
Operating margin	1.5%	0.5%	1.1ppts	1.1%	0.4ppts	-3.0%	4.5ppts	-6.4%	8ppts
Net margin	5.4%	4.7%	0.7ppts	5.6%	-0.2ppts	3.2%	2.2ppts	1.4%	4ppts

Source: Company data, Goldman Sachs Global Investment Research, Bloomberg

Earnings revision: We factor in Hua Hong's 3Q26 earnings, 2Q26 earnings and revise up our 2026E-29E estimates by 5% / 3% / 2% / 1%. We revise down our 2026E-29E revenues (2-3%) mainly on slower-than-expected power discrete products growth, while remaining positive on product mix upgrade and improving UT rate ahead. We revise up GM by 0.6ppts to 0.9ppts in 2026E-29E to reflect higher-than-expected GM on mix upgrade to drive better ASP and company's cost reduction efforts.

Exhibit 3: Earnings revision

(US\$m)	New	2026E Old	Diff	New	2027E Old	Diff	New	2028E Old	Diff	New	2029E Old	Diff
Revenue	3,085	3,167	-3%	3,999	4,107	-3%	4,801	4,916	-2%	5,714	5,851	-2%
Gross profit	461	453	2%	702	688	2%	1,006	991	2%	1,339	1,318	2%
Operating income	27	26	1%	177	172	3%	410	405	1%	683	674	1%
Net income	222	212	5%	368	356	3%	537	526	2%	751	741	1%
EPS (Basic)	0.13	0.12	5%	0.21	0.20	3%	0.31	0.30	2%	0.43	0.43	1%
Margins												
Gross margin	14.9%	14.3%	0.6ppts	17.5%	16.7%	0.8ppts	21.0%	20.0%	0.9ppts	23.4%	22.6%	0.9ppts
Operating margin	0.9%	0.8%	0ppts	4.4%	4.3%	0.1ppts	8.5%	7.8%	0.8ppts	12.0%	10.3%	1.7ppts
Net margin	7.2%	6.7%	0.5ppts	9.2%	8.9%	0.3ppts	11.2%	10.6%	0.6ppts	13.2%	11.8%	1.4ppts

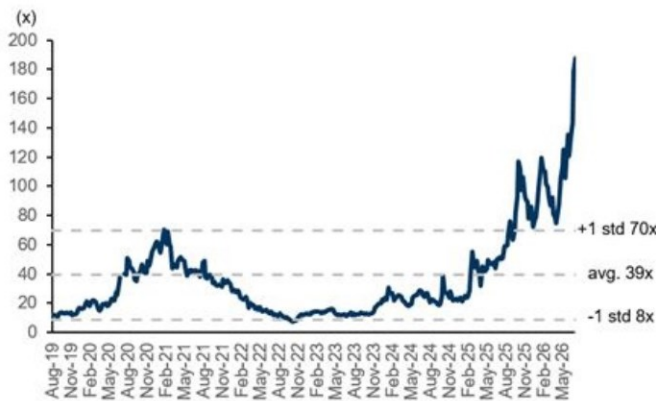
Source: Company data, Goldman Sachs Global Investment Research

Valuation: We continue to use a discounted P/E valuation method for Hua Hong. Our 12m TP remains based on a 2030E target P/E, discounting back to 2027E. With our EPS forecast changes and target P/E unchanged, **we raise our 12m TP for Hua Hong to HK\$335 (vs. HK\$333 previously)**, based on an unchanged 92.0x 2030E P/E, and based on a 9.3% COE (unchanged). Our target multiple is based the correlation between peers' P/E vs. the sum of forward year NI growth and OPM. Maintain Buy.

Exhibit 4: Hua Hong discounted P/ E

(US\$m)	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	2031E
Technology migration	55/65nm						40nm		28nm and below					
Revenue	930	933	961	1,631	2,475	2,286	2,004	2,402	3,085	3,999	4,801	5,714	6,668	7,828
YoY		0%	3%	70%	52%	-8%	-12%	20%	28%	30%	20%	19%	17%	17%
Gross margin	33.4%	30.3%	24.4%	27.7%	34.1%	21.3%	10.2%	11.8%	14.9%	17.5%	21.0%	23.4%	24.9%	26.2%
Opex ratio	14.0%	19.2%	28.0%	12.9%	11.3%	14.6%	18.0%	17.7%	14.1%	13.1%	12.4%	11.5%	10.2%	8.9%
Operating profit	181	104	(35)	242	565	154	(156)	(143)	27	177	410	683	980	1,358
YoY		-43%	na	na	133%	-73%	-201%	-8%	-119%	558%	132%	67%	44%	38%
Net profit	183	162	99	261	450	280	58	55	222	368	537	751	1,059	1,422
EPS (US\$)	0.17	0.13	0.08	0.20	0.34	0.21	0.03	0.03	0.13	0.21	0.31	0.43	0.61	0.82
YoY		-26%	-39%	162%	72%	-40%	-84%	-6%	304%	65%	46%	40%	41%	34%
2030E target P/E														92.0
Target multiple x EPS														56.1
Discounted back to 2027; TP (HK\$)														335.0
Implied P/E											203	139	99	
Implied P/B											8	10	9	
COE assumption														
Beta	0.9													
Risk free	3.5%													
Market risk premium	6.5%													
COE	9.3%													

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 5: Hua Hong 12M forward P/E

Source: Eikon Datastream

Exhibit 6: The target multiple is derived from the correlation between peers P/E and the sum of forward year earnings and OPM

	2030E P/E	2030-31E OPM	2030-31E NI YoY	Ratio
Hua Hong	92	16%	38%	1.7
	2027E P/E	2027-28E OPM	2027-2028E NI YoY	Ratio
SMIC - A	115	15%	39%	2.1
Tower Semi	52	5%	44%	1.1
Amkor	35	10%	6%	2.2
Tongfu	56	18%	22%	1.4
Piotech	92	4%	51%	1.7
Average				1.7

Source: Company data, Goldman Sachs Global Investment Research, LSEG Data & Analytics

Exhibit 7: Hua Hong P&L Summary

(US\$m)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	2022	2023	2024	2025	2026E	2027E	2028E	2029E
Revenue	541	566	635	660	661	718	794	912	2,475	2,286	2,004	2,402	3,085	3,999	4,801	5,714
Gross profit	50	62	86	85	86	118	129	128	844	487	205	283	461	702	1,006	1,339
Operating expense	(97)	(98)	(100)	(130)	(106)	(107)	(101)	(120)	(279)	(333)	(361)	(426)	(434)	(525)	(596)	(656)
Operating income	(47)	(36)	(15)	(45)	(20)	11	27	8	565	154	(156)	(143)	27	177	410	683
Pre tax profit	(55)	(26)	3	(11)	(22)	12	28	35	496	174	(134)	(89)	53	118	267	535
Net income	4	8	26	17	21	39	73	90	450	280	58	55	222	368	537	751
EPS (US\$)	0.00	0.00	0.01	0.01	0.01	0.02	0.04	0.05	0.34	0.21	0.03	0.03	0.13	0.21	0.31	0.43
Margins / ratio																
Gross margin	9.2%	10.9%	13.5%	13.0%	13.0%	16.5%	16.2%	14.0%	34.1%	21.3%	10.2%	11.8%	14.9%	17.5%	21.0%	23.4%
Opex ratio	-18.0%	-17.3%	-15.8%	-19.7%	-16.0%	-15.0%	-12.8%	-13.1%	-11.3%	-14.6%	-18.0%	-17.7%	-14.1%	-13.1%	-12.4%	-11.5%
Operating margin	-8.7%	-6.4%	-2.3%	-6.8%	-3.0%	1.5%	3.4%	0.9%	22.8%	6.7%	-7.8%	-5.9%	0.9%	4.4%	8.5%	12.0%
Net margin	0.7%	1.4%	4.1%	2.6%	3.2%	5.4%	9.2%	9.8%	18.2%	12.2%	2.9%	2.3%	7.2%	9.2%	11.2%	13.2%
QoQ																
Revenue	0%	5%	12%	4%	0%	9%	11%	15%								
Gross profit	-19%	23%	39%	0%	1%	38%	9%	-1%								
Operating income	nm	nm	nm	nm	nm	nm	147%	-70%								
Pre tax profit	nm	nm	nm	nm	nm	nm	143%	27%								
Net income	nm	112%	224%	-32%	20%	85%	90%	22%								
EPS (US\$)	nm	112%	223%	-32%	20%	85%	90%	22%								
YoY																
Revenue	18%	18%	21%	22%	22%	27%	25%	38%	52%	-8%	-12%	20%	28%	30%	20%	19%
Gross profit	69%	23%	34%	39%	72%	92%	50%	50%	87%	-42%	-58%	38%	63%	52%	43%	33%
Operating income	nm	nm	nm	nm	nm	nm	nm	nm	133%	-73%	nm	nm	nm	558%	132%	67%
Pre tax profit	nm	nm	-91%	nm	nm	nm	782%	nm	67%	-65%	nm	nm	nm	123%	126%	101%
Net income	-88%	19%	-43%	nm	458%	386%	185%	413%	72%	-38%	-79%	-6%	305%	65%	46%	40%
EPS (US\$)	-88%	19%	-43%	nm	453%	383%	184%	413%	72%	-40%	-84%	-6%	304%	65%	46%	40%

Source: Company data, Goldman Sachs Global Investment Research

Price Target Risks and Methodology - Hua Hong

Valuation methodology: We are Buy rated on Hua Hong. Our 12-month target price of **HK\$335.0** is based on a 92x 2030E P/E, discounted back to 2027E at a COE of 9.3%. Our target multiple is derived from global semiconductor peers' P/E vs. earnings growth correlation.

Key downside risks include: 1) Weaker-than-expected end-market demand; 2) Slower-than-expected 12" fab ramp-up; 3) Uncertainties around US-China trade relations.

1347.HK	12m Price Target: HK\$335.00	Price: HK\$147.20	Upside: 127.6%
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Buy	GS Forecast				
Market cap: HK\$252.7bn / \$32.2bn	Revenue (\$ mn) New	12/25	12/26E	12/27E	12/28E
Enterprise value:	Revenue (\$ mn) Old	2,402.1	3,084.9	3,999.4	4,801.3
HK\$267.7bn / \$34.1bn	EBITDA (\$ mn)	2,402.1	3,167.4	4,106.9	4,916.5
3m ADTV: HK\$6.6bn / \$841.6mn	EPS (\$ New)	592.2	977.3	1,334.8	1,880.8
China	EPS (\$ Old)	0.03	0.13	0.21	0.31
Greater China Technology	P/E (X)	0.03	0.12	0.20	0.30
M&A Rank: 3	P/B (X)	NM	146.6	88.6	60.7
Leases incl. in net debt & EV?: No	Dividend yield (%)	1.2	3.6	3.4	4.2
	CROCI (%)	0.0	0.0	0.0	0.0
		5.2	6.3	6.8	7.7
		6/26	9/26E	12/26E	3/27E
	EPS (\$)	0.02	0.04	0.05	0.04

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 13 Aug 2026 close.

Disclosure Appendix

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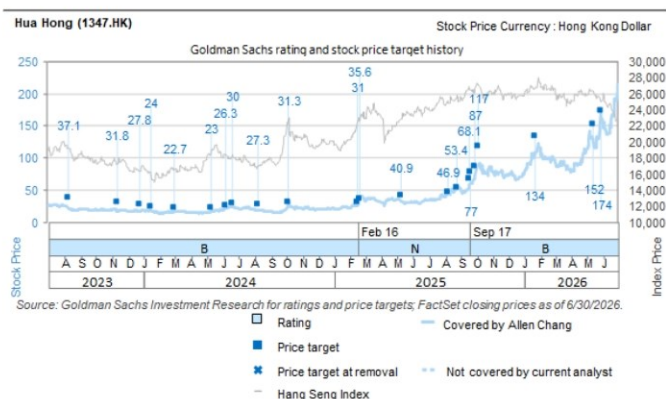
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Target price history table(s)

Hua Hong (1347.HK)

Date of report	Target price (HK\$)	Closing price (HK\$)
01-Jul-26	333.00	215.20
29-May-26	174.00	161.30
14-May-26	152.00	127.00
22-Jan-26	134.00	109.20
05-Oct-25	117.00	87.50
28-Sep-25	87.00	68.25
20-Sep-25	77.00	60.30
17-Sep-25	68.10	53.35
25-Aug-25	53.40	54.30
07-Aug-25	46.90	44.78
09-May-25	40.90	32.45
20-Feb-25	35.60	36.90
16-Feb-25	31.00	25.65
06-Oct-24	31.30	28.00
08-Aug-24	27.30	19.28
20-Jun-24	30.00	24.60
06-Jun-24	26.30	22.55
10-May-24	23.00	18.02
02-Mar-24	22.70	16.88
16-Jan-24	24.00	18.76
26-Dec-23	27.80	17.90
12-Nov-23	31.80	16.96

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